# Britain's 1986 Big Bang: Financial Liberalisation and Inequality – A Synthetic Control Study

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## ABSTRACT

### Long version (300w)

Britain's 1986 Big Bang reorganised the rules, ownership structure, and competitive organisation of the London securities market. This article examines whether this financial reform juncture was followed by a sustained divergence in UK inequality beyond its already rising inequality trend relative to a synthetic counterfactual constructed from comparable high-income countries.

Using synthetic control methods and state-of-the-art placebo and robustness tests, this study finds that observed UK Gini inequality rose persistently above its synthetic counterpart after 1986. The average post-treatment gap is 5.5 Gini points over the study period, increasing rapidly during the late 1980s before stabilising at around 6 points throughout the 1990s. Consequently, the Big Bang elevated the UK's relative inequality ranking by 10 places among peer countries. By 2000, Britain ranked as the second-most unequal high-income economy globally, behind the United States; without the Big Bang, it would have remained twelfth.

This study also examines the distributional composition of this divergence using income shares. The post-1986 shift was not confined to rising top income concentration, as the middle of the distribution experienced the largest and most persistent relative loss. The results therefore extend existing evidence on the Big Bang and top incomes by identifying a broader redistribution of relative income shares away from the middle and lower parts of the distribution towards the top decile.

These estimates should be interpreted as evidence of a 1986 financial-reform juncture, rather than as the isolated causal effect of individual Stock Exchange rules, as the Big Bang reform package coincided with a wider neoliberal policy environment. Nonetheless, these findings show that the state-led reorganisation of financial markets was associated with a persistent and unequal distributional shift in Britain's inequality levels.

### Short version (150w)

Britain's 1986 Big Bang reorganised the rules, ownership structure and competitive organisation of the London securities market. This article examines whether this financial-reform juncture was followed by a sustained divergence in UK inequality beyond its pre-existing upward trend. Using synthetic control methods, placebo tests and sensitivity analyses, the study finds a persistent post-1986 gap averaging 5.5 Gini points, stabilising around 6 points during the 1990s. Income-share analysis shows that the middle 60 percent experienced the largest and most persistent relative loss, while lower-income groups also lost share relative to their synthetic counterfactuals. These findings extend existing evidence on top incomes by identifying a broader redistribution of relative income shares towards the top decile. The estimates relate to a financial-reform juncture embedded in wider neoliberal policy changes, rather than the isolated causal effect of individual Stock Exchange rules, highlighting the distributional implications of state-led financial-market reorganisation.

# I. INTRODUCTION

In October 1986, the British government and the London Stock Exchange implemented a discrete reorganisation of securities markets in the UK. Known as the 'Big Bang', this 'City Revolution' was a series of reforms introduced by the Conservative government to eradicate perceived anticompetitive practices in financial markets and further ground the City of London as a major international financial centre. Fixed commissions were entirely abolished, restrictions on foreign capital ownership and entry were relaxed, and the historic separation between stock brokers and jobbers ended (Bellringer & Michie, 2014; Davies & Richardson, 2010). These reforms increased competition in financial services and enabled domestic and foreign financial groups to enter the Exchange. By 2008, Britain's financial sector's GVA represented close to 9% of GDP, making the UK's financial centre the largest in the Group of Seven (G7) as a share of total output, ahead of the United States (OECD, 2024b).

Since then, Britain's economy has undergone significant 'financialisation'. This political economy concept is defined as a 'structural transformation of contemporary capitalism' driven by a 'new regime of accumulation' that exponentially derives profits from financial channels rather than the trade and commodity economy (Krippner, 2005, p. 174; van der Zwan, 2014, p. 102). Fundamentally, growth has been increasingly driven by returns on financial assets rather than the production of goods or services, progressively shifting capital flows away from the 'productive economy' and towards 'financial rents' (van der Zwan, 2014).

Existing evidence shows that the Big Bang significantly raised top-income shares in the UK, especially through high financial sector earnings (Tanndal & Waldenström, 2018). However, the wider effects of the reform on sustained inequality dynamics in the UK and how it may have altered the wider household income and consumption distribution remain ambiguous, as current scholarly knowledge on the Big Bang has mainly focused on top incomes. This distinction matters, as a rise in top income shares does not establish whether financial liberalisation reforms also changed the relative position of middle- and lower-income households, nor whether redistribution policies offset market-income effects.

This paper therefore studies whether Britain's 1986 Big Bang reforms altered inequality across the wider household distribution in the UK, beyond its already documented effect on top incomes (Tanndal & Waldenström, 2018). This study makes three important contributions. First, from a distributional perspective, it tests whether the post-1986 divergence extended beyond top-income concentration of financial gains by using broader inequality and income-share metrics, reflecting the wider distribution of incomes. Second, from an institutional standpoint, this paper treats the Big Bang as an actively state-led and institutional reorganisation of market rules, ownership and competition, and not simply a 'deregulation'. Finally, from an identification basis, this paper uses state-of-the-art developments in quasi-experimental synthetic control methods design, placebo and robustness tests to assess how distinctive the 1986 break is, acknowledging that contemporaneous policy reforms cannot be fully separated from the Big Bang (Abadie, 2021).

This agenda matters, as while Britain's financial liberalisation has long been praised for its success in times of high inflation and stagnating economic growth, increasing attention has been given to

its broader implications on economic and social welfare (Christopherson et al., 2013). In particular, scholarly research suggests that beyond a certain point, financial expansion can hinder economic development by heightening financial instability, increasing inequalities and contributing to the misallocation of human capital (Arcand et al., 2012; Cecchetti & Kharroubi, 2015). By the 2007-08 Global Financial Crisis (GFC), Britain had become one of the most unequal industrialised economies in the world in terms of GDP per capita, productivity and income (McCann & Vorley, 2020). Accordingly, some scholars have suggested that Britain's economy may be 'overly financialised' (Christensen et al., 2016; Mazzucato, 2014).

Today, Britain suffers from a profound growth problem. The OECD projected the UK to be the 'worst-performing G7 economy' in 2025, marking the culmination of decades of slow investment and productivity growth (Fitzgerald, 2024; OECD, 2024a). In real terms, mean GDP per capita in Britain was lower in 2022 than in 2008, the largest output per capita deterioration among G7 peers since the GFC (Ridpath, 2024). Simultaneously, a growing body of evidence points towards high inequality having a considerably negative effect on long-run economic growth (Alesina & Rodrik, 1994; Perelman, 2008; Stiglitz, 2013). To what extent is Britain's financial liberalisation responsible for exacerbating inequality in the country? This is a crucial question from a policy perspective, as successive UK governments have called for reforms to the financial services sector to help drive economic development. (HM Treasury, 2024a, 2024b). In response, a group of fifty economists and policy experts, including Nobel laureate Joseph Stiglitz, argued that it is not financial sector growth in itself that matters, but rather its ability to support the wider economy in reducing inequality (Delaney et al., 2025; Stewart, 2024).

## II. THE POLITICAL-ECONOMIC BIG BANG REFORM PACKAGE

The 'Big Bang' refers to a series of reforms enacted in October 1986 that drastically liberalised the London Stock Exchange, in line with a longer financial liberalisation process in Britain since the late 1970s. The 1986 reforms scrapped the old floor-based trading system, abandoned monopolistic fixed commissions on securities trading, and removed most barriers to entry for foreign firms (Davies & Richardson, 2010; Plender, 1986). The Big Bang also eliminated the single capacity system, which historically separated the roles of brokers (who bought and sold bonds to non-members of the LSE in exchange for a commission) and jobbers (who quoted the market price of securities) (Bellringer & Michie, 2014). The main components of the 1986 LSE reform are exposed in Table 1 below.

**Table 1.** Components of the 1986 London Stock Exchange reform

| Component | Pre-reform institution | Post-reform change in 1986 | Political-economic implications | Distributional implications |
|---|---|---|---|---|
| **Fixed commissions** | Exchange members charged minimum fixed commissions | Commissions became negotiable | Higher price competition, large institutional trades gained from lower costs | Raised high financial earnings, but ambiguous household effect |
| **Single capacity** | Brokers acted for clients; jobbers dealt on their own account | Separation ended | Integrated financial firms could combine agency and dealing, mergers and acquisitions developed | Greater scale and bargaining power increased senior compensation |
| **Entry and ownership** | Restricted membership and ownership (especially for foreign institutions) | Foreign and domestic institutions could acquire member firms | Rapid foreign entry and consolidation, greater competition for teams and client relationships | Rise in financial wage premium and upper-tail earnings |
| **Trading technology** | Floor-based and telephone trading | Electronic screen-based dealing | Increased capacity, speed and volumes of trades | Expanded demand for specialised financial labour, concentrated in London |
| **Regulatory architecture** | Exchange self-regulation organised around club rules | Financial Services Act and self-regulatory organisations | Changed the regulatory architecture rather than simply 'deregulating' | Unclear effect of market reconstitution on distributions |

Source: Author's elaboration, based on Bellringer & Michie (2014).

Primary literature from 1986 reveals contrasting perceptions of the Big Bang. While the British press described this 'major reform' as 'The City Revolution', some American outlets stated that 'unlike the event that started the universe, the UK's Big Bang is more evolution than explosion' (Bank of England, 1987; Financial Times, 1986; O'Connor, 1986). This is because preparations for

the Big Bang effectively started in 1983, when the LSE reached an agreement with the Thatcher government to implement a series of fundamental changes to its rules by October 1986 to comply with the 1973 Fair Trading Act (Copley, 2021c). In addition, many competing neoliberal economic policies were enacted from Margaret Thatcher's election as Britain's Prime Minister in 1979, which largely affected the structure and distribution of the UK economy. In this regard, the Big Bang was no 'City Revolution' but really part of a broader package of economic and social reforms that sought to liberalise the economy, as shown in Table 2 below.

**Table 2.** Chronology of competing economic policy reforms

| Policy or shock | Timing | Main inequality channel | Implications for the 1986 Big Bang break |
|---|---|---|---|
| **Abolition of exchange controls** | Completed Oct 1979 | Capital mobility, portfolio allocation, internationalisation of finance | Financial liberalisation trend started earlier than 1986 |
| **Monetarist recession and mass unemployment** | 1979-1983 | Worklessness and lower incomes at the bottom, deindustrialisation | Inequality may have been on the rise before 1986 |
| **Employment Acts and Trade Union Act** | 1980 & 1982, 1984 | Lower labour bargaining power, higher wage dispersion | Indirectly linked to altering income shares distribution |
| **Privatisation and widened stocks and shares ownership** | Accelerated mid to late 1980s | Asset transfers, changes in employment and executive pay | Part of the broader Big Bang financial reform package in 1986 |
| **Building Societies Act** | 1986, but mainly effective in 1987 | Wider banking powers, competition and household credit | Part of the broader Big Bang financial reform package in 1986 |
| **Income-tax reforms** | 1979 income tax cuts, 1988 major top-rate tax cut | Raised disposable income at the top | May amplify net Gini effects in the years following the Big Bang |
| **Social-security retrenchment** | 1986-1988 | Weakened lower-income protection | Staggered event that could be seen as a confounder |
| **LSE Big Bang reforms and Financial Services Act** | Agreement and preparation from 1983, implemented on 27th Oct 1986 | Exchange entry, ownership, integration, turnover and financial remuneration | Part of the broader Big Bang financial reform package in 1986 |

Source: Author's elaboration, based on Copley (2021).

As shown above, the 1986 Big Bang reform package was part of a broader set of neoliberal economic policy reforms enacted from 1979. The year 1986 is not the origin of British financial liberalisation. Capital-account liberalisation and domestic financial reforms began earlier, while

several components of the Big Bang were anticipated from the 1983 settlement. Rather, October 1986 marks the formal implementation of a discrete reorganisation of the London securities market: fixed commissions were abolished, single capacity ended, restrictions on ownership and entry were relaxed, and a new regulatory framework was introduced. The empirical question is therefore whether UK inequality diverged further after this institutional break, which is both particularly interesting and relevant for this study in two ways.

First, 1986 was a distinctive institutional break in that it specifically centred on securities-market reforms aimed at creating a competitive liberalisation and regulatory organisation. The 1986 reform package, which includes the liberalisation of the Exchange along with the Building Societies Act and the institutional incentivising of stock ownership, above all created a new statutory and self-regulatory framework (Blundell & Etheridge, 2010; Brewer & Wren-Lewis, 2016).

Second, despite the gradual political construction of the LSE's liberalisation, its enactment was truly abrupt and radical. While all industrialised economies liberalised their financial markets and dismantled restrictions from the early 1970s, these deregulations were very gradual and implemented incrementally over several decades (Williamson & Mahar, 1998). The singularity of Britain's financial deregulation lies in the speed and scale of regulatory change, with Big Bang reforms occurring virtually overnight (Tanndal & Waldenström, 2018).

The immediate effects of the Big Bang were substantial. First, the reforms eliminated the LSE's restrictive practices and opened it to new members, facilitating the entry of foreign firms. This led to a surge in competition and a 30% drop in transaction costs for large trades between 1986 and 1987 (Copley, 2021c). Second, the Big Bang substantially increased the volume of trading on the LSE, quadrupling the average daily turnover of UK equities from £500 million in 1986 to £2 billion in 1995 (Laurence, 2001). These reforms also facilitated the growth of cross-border securities trading, positioning the City of London as a global financial hub (Bellringer & Michie, 2014). Finally, the Big Bang contributed to the strong growth of Britain's financial sector, reaching close to 9% of total GDP in 2007, making it the fifth-largest industry in the UK as a share of total gross value added (ONS, 2024).

In this respect, Britain's 1986 Big Bang has long been presented as a crucial stepping stone in the globalisation of financial markets, with the state portrayed as a mere facilitator of financial sector expansion. However, recent research has reinterpreted the role of the state as an integral actor in the Big Bang, as policymakers held strong interests in deregulating the LSE to support the issuance of British sovereign debt, as the LSE was the principal market for UK government bonds (Dutta, 2018). By the 1980s, the state's increasing debt issues incentivised policymakers to revise the LSE's membership and trading rules to expand the size and liquidity of the market for UK sovereign debt, mainly purchased by pension, insurance, and investment funds (Copley, 2021c, p. 112; Dutta, 2018, p. 4). As such, successive British governments are shown to have played a much more active role in the deregulation and financialisation of the UK economy than previously acknowledged, much faster than any other G7 economy at the time (Davis & Walsh, 2016).

Scholars have since framed the 1986 Big Bang as an 'archetypal case of state propulsion of financialisation' (Copley, 2021c). The 'Treasury view' shared by HM Treasury, the Bank of

England, and City of London staff opposed extensive state intervention and large public industries, favoured free trade and international markets, and supported the growth of UK financial services (Davis & Walsh, 2016; Macpherson, 2014). This process is known as 'state-led financialisation', or 'financialised policymaking' in political economy (Copley, 2021a; Karwowski, 2019).

Accordingly, this paper does not interpret the Big Bang as having created London's major international financial centre, which it already largely was through the Eurodollar market. Rather, the Big Bang reforms reconfigured and accelerated the organisation, scale and ownership structure of the City of London's already internationally important financial centre. This is a major political economy and institutional grounding for this paper.

## III. DISTRIBUTIONAL MECHANISMS AND CONTRIBUTION

### A. The financial deregulation and inequality nexus

A growing body of research has explored the link between financial deregulation and inequality, building on several interconnected mechanisms.

First, the literature distinguishes two opposing effects of financial deregulation on inequality. At the extensive margin (i.e. access to financial markets), financial deregulation increases the availability of financial services to individuals previously excluded from financial markets, for instance, due to price constraints (Greenwood & Jovanovic, 1990). This develops economic opportunities for those previously excluded from financial services, reducing inequalities. Conversely, at the intensive margin (i.e. rates of returns from financial services), financial deregulation enhances financial returns for those already participating in financial markets, who are disproportionately top income earners, thereby increasing inequalities (Demirgüç-Kunt & Levine, 2009).

Using the synthetic controls method, Tanndal and Waldenström (2018) find that financial deregulation in the UK increased the top percentile income share by approximately 20% relative to a scenario where the Big Bang had not occurred. This confirms previous findings that financial deregulation boosts wage earnings for financial sector employees, who are disproportionately represented at the top of the income distribution (Bell & Van Reenen, 2013; Boustanifar et al., 2016; Philippon & Reshef, 2013). Indeed, Delestre et al. (2024) find that the UK's financial sector employment distribution is the most extreme among European economies. While financial services employ around 3% of the UK population, they employ 29% of the top 1% and 44% of the top 0.1% of the income distribution (Haffert et al., 2024).

Furthermore, financial deregulation has affected inequality through the financialisation of welfare. Marking a departure from the post-war Beveridge model of social democracy, this shift aimed to safeguard the political legitimacy of policymakers amid the socioeconomic crises of the 1980s (Copley, 2021b). This facilitated the rise of privatised welfare services (e.g. the 1992 Private Finance Initiative outsourced some public services such as hospitals), asset-based welfare (e.g. the 1980 Right to Buy scheme shifted housing provision from public to mortgage finance), and individualised financial products (e.g. student loans gradually replaced government grants in higher education). More recently, social impact bonds have introduced risk, return and efficiency metrics into welfare provision, incentivising cost-cutting measures that further exacerbate inequality (Barman, 2015).

In this respect, financial deregulation catalysed Britain's transition from industrial to financial capitalism, transferring economic and negotiating power from the industrial to the financial sector (Aglietta, 2017; Flamencourt, 2024). This reorientation has prioritised the interests of financial elites over industrial or civil society actors, accelerated income transfers from the real sector to the financial sector, and deepened wealth and income inequalities (Palley, 2007; Zalewski & Whalen, 2010). For instance, Power and Epstein (2002) report that financial profits rose from around 15% of total profits in the 1960s to 30% during the 1980s-90s in OECD countries.

Overall, these developments underpin a new model of state intervention. Often described as 'privatised Keynesianism', this regime encourages individuals to take on debt to stimulate economic growth in place of direct government spending (Crouch, 2009; Flamencourt, 2024). Accordingly, Perelman (2008, 45) argues that 'nothing has contributed to imbalances in the economy so much as the outlandish expansion of financialisation'.

### B. Measuring inequality: the Gini coefficient

Social scientists have developed various statistical measures to measure inequality. These include the S80/S20 ratio (richest 20% versus poorest 20%), the P90/P10 ratio (90th percentile versus 10th percentile), and the Palma ratio (richest 10% versus poorest 40%). The Gini coefficient, developed by Italian statistician Corrado Gini and based on the earlier 'Lorenz curve' by American economist Max O. Lorenz, remains the most widely used today (Ceriani & Verme, 2012).

The Gini coefficient offers many advantages. First, it is normatively neutral, meaning it quantifies inequality without adopting a specific ethical stance, unlike Rawlsian or utilitarian social welfare functions. Second, it provides a single, easily interpretable summary statistic of income dispersion, facilitating in-time and in-space comparisons (Farris, 2010). Third, it captures changes across the entire income distribution, unlike income shares that focus on the extremes. Finally, its scale ranges from 0% (perfect equality) to 100% (perfect inequality), enabling straightforward cross-country comparisons (Charles et al., 2022).

However, the Gini coefficient has several limitations. First, it compresses the entire distribution into a single value, which means that two different Lorenz curves can yield the same Gini coefficient. Thus, it is particularly sensitive to changes in the middle of the distribution, potentially overlooking shifts at the extremes (Osberg, 2017). Second, the Gini index is a relative measure, meaning it can rise while absolute poverty falls. In this case, everyone is getting richer, but not at the same pace (World Bank Data, 2025). Finally, as income distributions are unique to subgroups, the Gini index is not additive across income or regional groups (Pyatt, 1976; World Bank Data, 2025).

### C. Contribution

To assess the effects of financial deregulation on inequality, this study closely builds on Tanndal and Waldenström (2018), who analyse the impact of financial market deregulation on top income shares in Britain and Japan. Although many other high-income countries liberalised financial markets during this period (see Table 7 in the Annexe), the UK's Big Bang is unique in its abruptness and suddenness, making it a quasi-experiment. Therefore, treatment is assigned as the 1986 financial-market institutional break, hereafter named the 'Big Bang reform package'. The estimates capture the post-1986 divergence in inequality in the UK associated with this reform relative to a more gradual and less abrupt process of financial deregulation.

This paper aims to make three important contributions. First, it shifts the outcome variable from pre-tax top-income shares and concentration to consumption inequality across the full

distribution, using the Gini coefficient. The rationale behind this is twofold: while studying top income shares may inform top income taxation policies, it does not shed light on structural economic disparities in the larger income distribution. Also, aggregate inequality levels offer deeper insights into structural disparities in resource allocation or misallocation, a crucial indicator of economic resilience and growth, on which the effects of inequality have been extensively studied.

Furthermore, while Tanndal and Waldenström (2018) run analyses on inequality rates, this is presented as supplementary evidence for their hypothesis rather than a true empirical study, and no robustness tests are conducted. Additionally, the inequality data they use is based on household income distributions (Solt, 2020). However, consumption distributions are widely considered a better measure of welfare. This is because consumption data is more stable and less prone to underreporting, whereas income data may fluctuate significantly due to temporary changes in employment status. Income measures may also miss non-monetary benefits and informal exchanges captured in consumption data (Meyer & Sullivan, 2003). Thus, the consumption-based Gini index used in this analysis is considered a more consistent measure of inequality (World Bank Data, 2025).

Second, this study places the Big Bang reform package within a political economy framework of market creation. Indeed, financial liberalisation shaped the organisation, entry, and ownership of financial instruments in the City. The Big Bang was not simply about reducing the quantity of regulation (i.e. deregulation), it was about durably shaping financial market institutions.

Third, this study evaluates whether the estimated aggregate divergence in inequality is consistent with distributional change beyond the top decile by examining middle- and bottom-income shares. Thus, this study intends to contribute to the existing literature by providing a fresh perspective on the causal effects of the Big Bang on long-run distributional inequality gains in the UK. Similarly, state-of-the-art placebo and robustness tests are conducted to examine whether the UK divergence is unusually concentrated around the 1986 reform juncture, while donor-pool and policy-timing analyses make explicit the limits of attributing the estimated effect to individual Exchange rules.

Overall, while the existing literature has effectively conceptualised the role of the state in enabling financial deregulation (Davis & Walsh, 2016; Dutta, 2018), less attention has been given to how such liberalisation affects economic outcomes (Amable et al., 2019; Chiapello, 2017). Similarly, although empirical research has identified the causal effects of Britain's Big Bang on top income shares, its effects on aggregate inequality levels and the larger welfare implications of this remain largely an open question (Brewer & Wren-Lewis, 2016; De Haan & Sturm, 2017; Godechot, 2020; Tanndal & Waldenström, 2018).

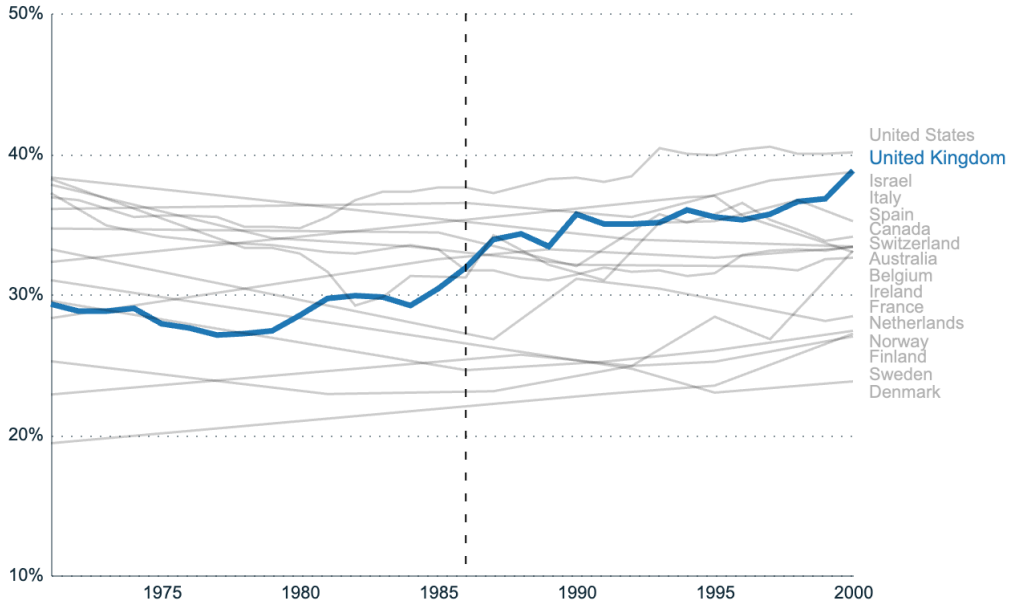
## IV. DATA AND RESEARCH DESIGN

### A. Motivation for using the synthetic control method

This study assesses the impact of Britain's 1986 Big Bang reform package as a policy shock of state-led financial liberalisation on living standards inequality measured by the Gini coefficient of household consumption expenditures, which measures inequality in realised consumption rather than inequality in annual income, smoothing temporary income fluctuations. Given the historical nature of this event, any identification design can only be quasi-experimental. Figure 1 presents the evolution of the Gini index in the UK and in a set of peer high-income countries, referred to as the 'donor pool'. This study aims to assess the treatment effects of the Big Bang (dashed line on Figure 1) relative to untreated control countries, i.e. which experienced gradual rather than sudden financial liberalisation.

The identifying assumption is that a weighted combination of donor countries would provide a credible prediction of the UK's post-1986 inequality trends in the absence of the sudden, large-scale 1986 Big Bang reform package. This assumes good pre-treatment fit, the absence of comparable contemporaneous liberalisation reforms in donor countries, and the absence of other UK-specific shocks that independently affected inequality around 1986. This last condition is demanding because the 1986 reform package occurred within a wider neoliberal economic transformation of the Thatcher era, as explained in the previous section. Therefore, this paper interprets its estimates as the reduced-form effects of the 1986 financial liberalisation reforms on the already-expanding inequality trend in Britain.

**Figure 1.** Gini coefficient (in %): UK vs donor pool countries (1970-2000)




*Note: A Gini index of 0 represents perfect equality, while 100 implies perfect inequality. Some countries exhibit linear interpolation between data points for certain years due to missing data. The dashed vertical line represents the 1986 Big Bang.*

Source: Author's elaboration based on World Development Indicators data.

One approach would be to run a simple cross-country panel regression estimating the effects of Britain's Big Bang on the Gini index, using several control variables. However, this method is flawed since there is a single treatment unit (the UK), and pre-treatment characteristics largely differ among controls (peer countries). Thus, the key challenge in this analysis is to find a valid counterfactual for the UK.

A second, more informed strategy would be to run a difference-in-differences estimate, computing the change in outcomes (Gini coefficient) in the treatment group (Britain), and comparing it to the change in outcomes in a well-selected control group (one or many untreated peer countries). However, the key 'parallel trends assumption' requires that both treatment and control groups develop in the same way in the absence of treatment. In cross-country studies, this assumption is never verifiable, as seen visually in Figure 1. Another more important concern is that standard errors (even clustered) are biased downwards in difference-in-difference settings with a single treatment unit, which may produce spuriously statistically significant results (Conley & Taber, 2011).

To overcome these challenges, I use the synthetic control method (SCM) developed by Abadie, Diamond, and Hainmueller (2010), which enables causal inference in panel data with a single treatment unit. This method is widely regarded as one of the most important innovations in policy evaluation design in recent decades (Athey & Imbens, 2017). The SCM constructs a synthetic counterfactual for the treated unit using a linear combination of control units. Intuitively, this creates a 'doppelgänger' version of Britain, an artificial UK that did not experience the Big Bang reform package. This synthetic UK is a far more credible counterfactual than any single country comparator, as close pre-treatment fit supports the plausibility of counterfactual prediction. Estimated treatment effects are calculated by the difference between observed and synthetic outcomes. This is the most relevant method to date to tackle this research question.

### B. Research design

Following Abadie, Diamond, and Hainmueller (2010) and Yan & Chen (2023), consider a sample with $N + 1$ units, where $i = 1$ is the treated unit (Britain, exposed to the Big Bang) and all other units $i = 2, \dots, N + 1$ are the control units forming the donor pool (peer countries, unexposed to the shock). Let $Y_{it}$ be the outcome of interest (Gini coefficient) for unit $i$ in period $t$, expressed as:

$$Y_{it} = Y_{it}^{1} D_{it} + Y_{it}^{0} (1 - D_{it}) = Y_{it}^{0} + \Delta_{it} D_{it} \quad (1)$$

Where $Y_{it}^{1}$ and $Y_{it}^{0}$ are the outcomes of unit $i$ in period $t$ with and without treatment, respectively, and $D_{it}$ is a binary marker of treatment, such that $D_{it} = 1$ if unit $i$ is treated in period $t$ and $D_{it} = 0$ otherwise.

Now, let $W = (w_2, \dots, w_{N+1})$ be a column vector of non-negative weights of donor countries that sum to one, such that $0 < w_i < 1$ and $\sum_{i=2}^{N+1} w_i = 1$. Then, the optimal synthetic control $W^*$ that represents the weighted combination of donor units and covariates which best

approximates the treated unit's pretreatment characteristics is obtained by minimising the following objective function.

$$\sum_{m=1}^{k} v_m \left(X_{1m} - X_{0m}\, W\right)^2 \qquad (2)$$

Where $m = 1, \ldots k$ indexes all predictor variables, $X_{1m}$ and $X_{0m}$ contain the m[th] pretreatment predictor of treated and donor units, respectively, and $v_m$ contains the relative weight of the m[th] pretreatment predictor, i.e. its importance in the synthetic control.

Then, following Abadie, Diamond, and Hainmueller (2015), the optimal matrix of predictor weights $V^*$ is selected such that the resulting synthetic control minimises the root mean squared prediction error (RMSPE) of the outcome variable (Gini coefficient) over the pretreatment period. This cross-validation technique sets the weights $v_m$ to minimise prediction error. The corresponding treatment effects $\Delta_{it}$ are the difference between treated (actual UK) and control (synthetic UK) outcome values in the post-treatment period, estimated as follows.

$$\Delta_{it} = Y_{it}^1 - Y_{it}^0 = Y_{1t} - \sum_{i=2}^{N+1} w_i^*\, Y_{it} \qquad (3)$$

Finally, evaluating the statistical significance of SCM treatment effects relies on a series of placebo and robustness tests, exposed in Section IV.

### C. Data collection

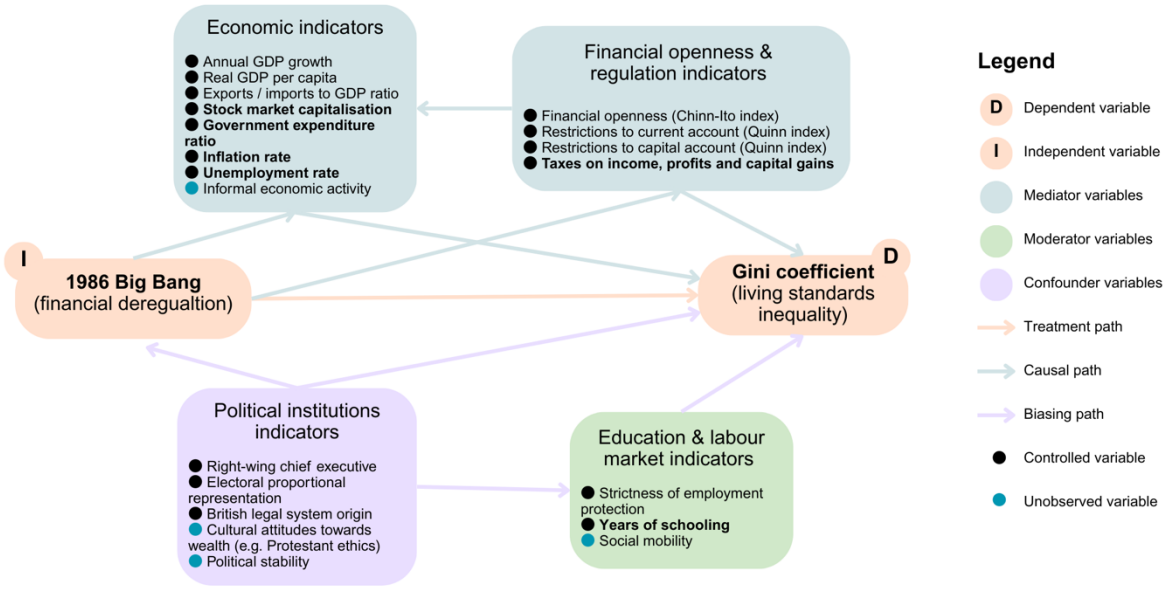
Financial deregulation modelled by the 1986 Big Bang reform package is the independent variable. Living standards inequality, measured by the Gini index of consumption distributions, is the dependent variable. To isolate the causal path between these two variables, a series of covariates must be chosen to match the treated unit with a combination of control units with similar pretreatment characteristics. I select predictors by building on and refining the approach by Tanndal and Waldenström (2018).

First, I group the covariates chosen by Tanndal and Waldenström (2018) into four subgroups: economic indicators, financial openness and regulation indicators, political institutions indicators, and education and labour market indicators (see Figure 2 below). Second, I enhance Tanndal and Waldenström's (2018) specification by including additional predictors to minimise omitted variable bias. These include stock market capitalisation, government expenditure ratio, inflation rate, unemployment rate, taxation of income, profits and capital gains, and years of schooling. To avoid excessive loss in degrees of freedom, the SCM algorithm chooses the optimal covariate weights, assigning null weights to some. As such, adding predictors can only make estimates more precise.

Finally, some unobservable characteristics may still influence the causal pathway. Following Abadie, Diamond, and Hainmueller (2010), I include the lagged outcome variable (Gini

coefficient) for pretreatment years 1983, 1978 and 1973 as additional covariates. This approach addresses potential omitted variable bias by accounting for the effects of any observed or unobserved predictors, whether explicitly included in the model or not (Figure 2).

**Figure 2.** Study directed acyclic graph (DAG)




Source: Author's elaboration.

Data are collected from the World Development Indicators (World Bank Data, 2023), Global Financial Development Database (World Bank, 2022), Database of Political Institutions (World Bank, 2023), Indicators of Employment Protection (OECD, 2023), Chinn-Ito Index Database (Chinn & Ito, 2008), and Economic Openness Database (Gräbner et al., 2021; La Porta et al., 1997; Quinn & Toyoda, 2008). A descriptive table of predictor variables and their sources is presented in Table 8 in the Annexe.

### D. Data sampling and sorting

This section outlines the construction of the donor pool. I begin by identifying the relevant pool of countries to form the synthetic control. While Tanndal and Waldenström (2018) restrict their sample to OECD countries, I include all high-income countries as classified by the World Bank (2024), to maximise sample size.

To ensure sufficient pretreatment data coverage, I begin the sample in 1971, as earlier Gini data are sparse. A 15-year pretreatment window is considered adequate to construct a valid counterfactual (Abadie et al., 2010). I end the post-treatment period in 2000 to avoid confounding treatment effects from later events, and particularly the financial crises of the late 2000s, consistent with Tanndal and Waldenström (2018).

Next, I exclude countries exposed to confounding policy shocks, as donor pool countries must not have received treatment. In this study, donor countries were not necessarily untouched by

financial reform. Eligibility instead requires that no donor experienced a reform closely comparable in timing and institutional scope to the UK's 1986 securities-market reorganisation. Annexe Table 7 shows major capital-account, banking and securities-market reforms for each donor country. Following Tanndal and Waldenström (2018), I exclude the United States due to the 1986 Tax Reform Act occurring the same year as the Big Bang, which significantly reduced top income tax rates, thus impacting inequality. This exclusion prevents conflating the effects of the Big Bang with those of unrelated policy reforms.

The SCM algorithm requires a complete matrix of pretreatment observations. For this reason, I exclude countries with entirely missing Gini or predictor data from the donor pool. For countries with partial gaps in pretreatment predictors, I use linear interpolation to estimate missing values, consistent with Tanndal and Waldenström (2018). I also exclude Chile from the donor pool due to significant scale differences in pretreatment characteristics.

The resulting working dataset spans 39 years (1971-2010) and includes 15 countries, given in Table 3 below. Descriptive dataset statistics are provided in Table 9 in the Annexe.

**Table 3.** Working dataset country sample

| ID | Country name | ID | Country name | ID | Country name |
|---|---|---|---|---|---|
| 1 | Australia | 6 | France | 11 | Norway |
| 2 | Belgium | 7 | Ireland | 12 | Spain |
| 3 | Canada | 8 | Israel | 13 | Sweden |
| 4 | Denmark | 9 | Italy | 14 | Switzerland |
| 5 | Finland | 10 | Netherlands | 15 | United Kingdom |

Source: Author's elaboration.

### E. Methodological limitations

SCM is the most advanced empirical method available to undertake this research, addressing major concerns arising from other econometric techniques in finding a valid counterfactual. However, several concerns remain valid.

First, SCM relies on a series of assumptions and research decisions, such as the number of pretreatment and posttreatment years, the composition of the donor pool, the selection and quality of covariates, and the method for assigning optimal covariate weights. Researchers have noted that SCM can be sensitive to small changes in these parameters (Firpo & Possebom, 2018). I address these concerns as follows. Country and year samples are chosen to maximise the number of units and observations in the dataset, and no arbitrary cuts have been made. The choice of covariates builds on and refines Tanndal and Waldenström (2018). Finally, the assumptions behind the specification closely follow methodological advice by Abadie (2021).

Second, omitted variable bias could be a potential concern, as many other observable and unobservable variables could influence inequality levels. However, including lagged values of the outcome variable (i.e. the Gini coefficient) for pretreatment years helps mitigate this risk by capturing the influence of both observed and unobserved predictors, whether explicitly included

in the model or not (Abadie et al., 2010). The only major concern would be the inclusion of 'bad controls', i.e. collider variables that are affected both by the treatment and the outcome, which are not present in this specification.

Third, interpolation bias may arise from estimating missing data points under the assumption of linearity. However, this is unlikely to significantly distort results in this setting, as the donor pool is restricted to high-income countries with broadly similar economic structures and characteristics. Abadie, Diamond, and Hainmueller (2015) show that interpolation bias is mainly a concern when donor units differ substantially from the treated unit, which is not the case in this study.

Finally, SCM relies on the assumption of no interference, meaning there should be no spillover effects from the treatment to control countries. This assumption could be violated if the Big Bang influenced inequality in donor countries. For example, if the newly deregulated LSE disproportionately attracted foreign capital, the Big Bang may have indirectly increased inequalities in foreign countries, potentially contaminating the control group.

However, it is easy to evaluate both the existence and direction of potential spillovers due to the small number of donor countries. If the Big Bang had positive spillover effects on donor countries (increasing Gini inequality), then the synthetic UK's Gini coefficient would be overestimated, and treatment effects would thus be underestimated. Conversely, a scenario where the Big Bang had negative spillover effects (i.e. lowering inequality in control countries) is highly unlikely. Therefore, any spillovers could only underestimate treatment effects. This suggests that the true effects of financial deregulation on inequality are likely even greater than those found in this study. Note that spillovers affecting countries unweighted in the optimal synthetic control pose no issue since they do affect estimates.

# V. RESULTS

## A. The synthetic UK

Using the previously described methodology, I construct a synthetic counterfactual version of Britain that closely mirrors its pretreatment characteristics. This allows for a credible comparison of post-treatment Gini outcomes following the 1986 reforms.

First, I use the cross-validation technique to set the optimal covariate weights to minimise the root mean squared prediction error (RMSPE) of the Gini coefficient over the pretreatment period. The algorithm assigns the largest covariate weights to British legal origin (23%), stock market capitalisation (17.5%), the 1978 lagged Gini coefficient (16.5%), and the number of schooling years (13.6%). The remaining covariates have smaller weights in the synthetic control (see Table 10 in the Annexe). These results confirm that including additional covariates compared to Tanndal and Waldenström (2018) is relevant, as the explanatory power of these variables in predicting inequality outcomes appears substantial.

Next, the SCM algorithm assigns optimal weights to donor countries to match the UK's pretreatment Gini trend. The resulting synthetic UK is composed of 35.8% of Canada, 33.6% of Australia, and 30.6% of Finland. All other donor pool countries receive null weights (Table 4).

**Table 4.** Optimal synthetic control weights for the UK

| Country | Synthetic control weight (0-1) |
|---|---|
| Canada | .358 |
| Australia | .336 |
| Finland | .306 |

*Note: Weights are expressed from 0 to 1; all other donor pool countries receive null weights.*

Source: Author's elaboration using World Development Indicators data.

The resulting synthetic UK is a much more credible counterfactual than the simple average of the 14 donor pool countries, as pretreatment predictor values are significantly closer to those of the actual UK. This is confirmed by a lower standardised mean difference (SMD) for synthetic UK predictors than for average predictors, which measures the amount of bias in the estimation. Most covariates fall below the 0.3 SMD threshold, which is considered an acceptable balance in studies with small sample size (see Table 10 in the Annexe) (Hripcsak et al., 2025).

Finally, post-treatment Gini values for the synthetic UK are calculated as weighted averages of the Gini coefficients of weighted countries. For instance, the synthetic UK's Gini coefficient for the year 1986 is 35.8% that of Canada in 1986, 33.6% that of Australia, and so forth.

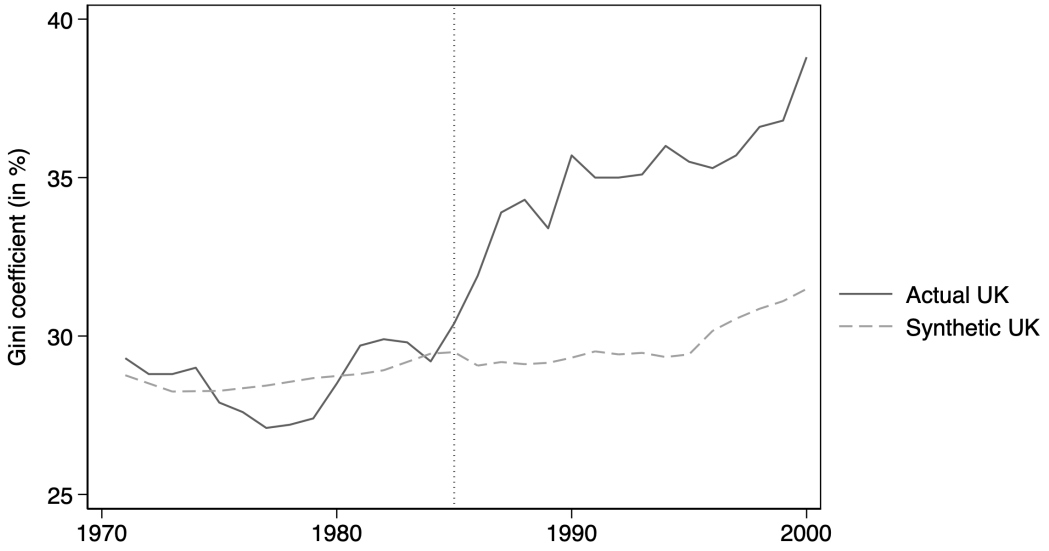
## B. Treatment effects of the 1986 Big Bang

Figure 3 plots Gini coefficient trends for Britain and its synthetic counterfactual, i.e. a doppelgänger Britain unaffected by the Big Bang reform package, from 1971 to 2000. The

synthetic UK's goodness-of-fit over the pretreatment period is not perfect. This discrepancy may either be due to the donor pool being unable to fully replicate the pretreatment variation in Britain's Gini trend, which may be unique within the dataset, or imprecision caused by interpolated data. Nonetheless, the synthetic UK closely tracks the UK's overall Gini trend during the pretreatment period (1970-1986), which is most important for inference.

Following the Big Bang in 1986, the UK's Gini trend diverges sharply from its synthetic counterfactual, with this gap increasing with time (Figure 3). The divergence seems to appear shortly before 1986, likely due to the counterfactual's imperfect goodness-of-fit. Another explanation could be anticipation effects, as plans for the Big Bang reforms were announced in 1983 (Bank of England 1987). Nonetheless, the post-1986 gap clearly indicates a substantial rise in inequality following the 1986 liberalisation reforms, compared to a scenario where financial deregulation had not been so abrupt.

**Figure 3.** Observed and predicted Gini trends (UK vs synthetic UK)




*Note: The synthetic UK trend line displays the weighted average Gini coefficient values of positively weighted donor pool countries.*
Source: Author's elaboration using World Development Indicators data.

Figure 4 presents the estimated treatment effects of the Big Bang on Britain's Gini coefficient, which measures the difference between actual and synthetic UK outcomes. The results show a sustained and significant rise in Gini inequality. On average, the Gini coefficient rose by 5.4564 percentage points over the entire post-treatment period. Inequality gains were particularly rapid between 1986 and 1990 and then stabilised around 6 percentage points. These findings provide strong evidence that the 1986 Big Bang triggered a lasting rise in aggregate inequality in Britain.

**Figure 4.** Treatment effects on Gini coefficient (UK minus synthetic UK)

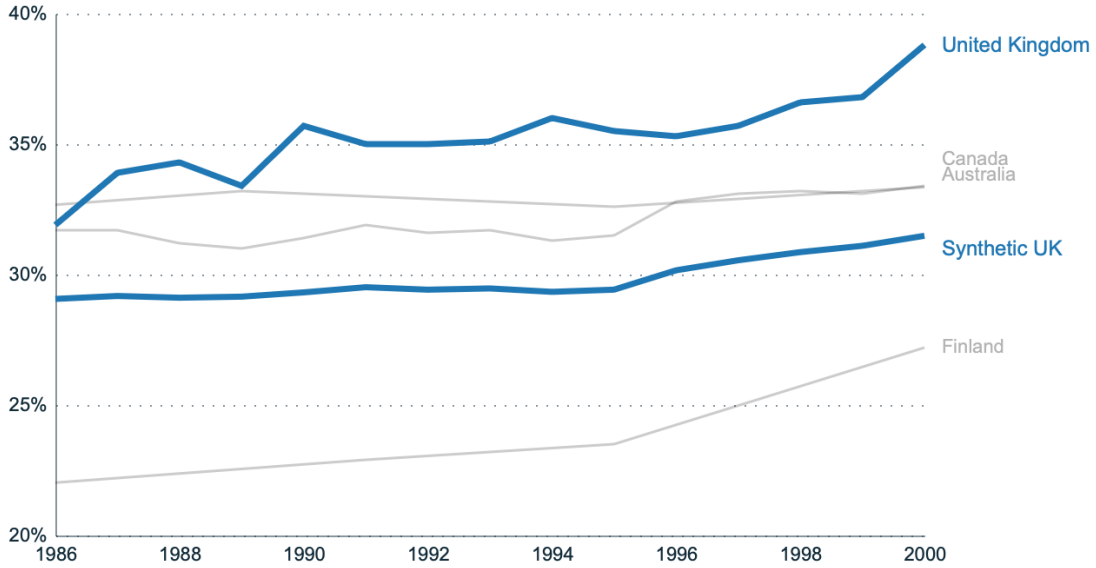



*Note: Treatment effects are calculated as the difference between actual and synthetic UK Gini coefficient values. The average treatment effect over the posttreatment period is 5.4564pp.*

Source: Author's elaboration using World Development Indicators data.

To better understand the composition of the synthetic UK and what is driving these results, Figure 5 disaggregates the Gini trends of weighted donor countries in the post-treatment period. The synthetic UK closely follows the Gini trends of Canada and Australia, with Finland pulling the overall trend downwards.

**Figure 5.** Weighted donor countries posttreatment Gini trends




*Note: The synthetic UK trend line displays the weighted average Gini values of selected donor countries.*

Source: Author's elaboration using World Development Indicators data.

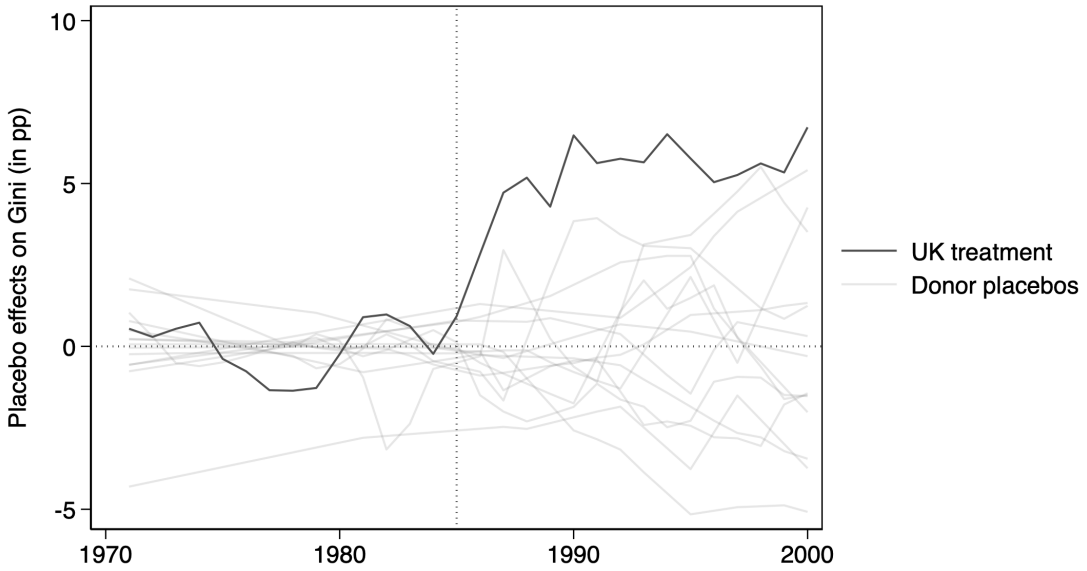
### C. Placebo tests

To assess the statistical significance of the estimated treatment effects, I conduct a series of placebo tests. First, following Abadie, Diamond, and Hainmueller (2010), I implement an in-space placebo test. To do so, I iteratively assign 'fake' treatment to each donor country and estimate the resulting

placebo effects. Figure 6 visualises these in-space placebo trajectories. The treatment effects of Britain's Big Bang are considered statistically significant if they are unusually large relative to the distribution of 'fake' placebo effects over the posttreatment period.

For this test, Abadie, Diamond, and Hainmueller (2010) exclude countries with poor pretreatment fit by imposing a mean squared prediction error (MSPE) cutoff. This is because any observed differences in posttreatment periods may be due to poor fit rather than actual treatment effects, hence biasing results. However, I retain all donor countries, as the UK's treatment effects exceed all placebo effects, regardless of pretreatment MSPE. Excluding countries would reduce the number of placebo comparisons, thus weakening statistical power. These results further confirm the significance of estimates, as they largely exceed any placebo effects, regardless of their pretreatment fit.

**Figure 6.** In-space placebo test (UK vs donor countries)




*Note: Placebo effects are estimated by iteratively assigning 'fake' treatment to each donor country for the treatment year (1986).*

Source: Author's elaboration using World Development Indicators data.

The level of statistical significance is given by the right-sided p-value, which is the probability that placebo effects are greater than or equal to observed treatment effects. As Britain's treatment effects are the largest among placebo units over the entire posttreatment period, the p-value is 1/15 or 0.0667 (Table 5). This indicates a 6.67% probability that placebo effects exceed true treatment effects. Results are thus significant at the 10% level across all years (or 90% confidence interval). Note that this is the highest level of statistical significance achievable with this dataset, as higher confidence would require a larger donor pool.

**Table 5.** SCM estimates and p-value statistics

| Year | Treatment effect | p-value (right-sided) | Year | Treatment effect | p-value (right-sided) |
|---|---|---|---|---|---|
| 1986 | 2.8329 | 0.0667 | 1994 | 6.6623 | 0.0667 |
| 1987 | 4.7206 | 0.0667 | 1995 | 6.0784 | 0.0667 |
| 1988 | 5.1872 | 0.0667 | 1996 | 5.1362 | 0.0667 |
| 1989 | 4.2465 | 0.0667 | 1997 | 5.1519 | 0.0667 |
| 1990 | 6.3834 | 0.0667 | 1998 | 5.7393 | 0.0667 |
| 1991 | 5.4844 | 0.0667 | 1999 | 5.6982 | 0.0667 |
| 1992 | 5.5795 | 0.0667 | 2000 | 7.3140 | 0.0667 |
| 1993 | 5.6314 | 0.0667 | Mean | 5.4564 | 0.0667 |

*Note: The right-sided p-value of the treatment effect is the frequency that placebo effects are greater than or equal to treatment effects.*

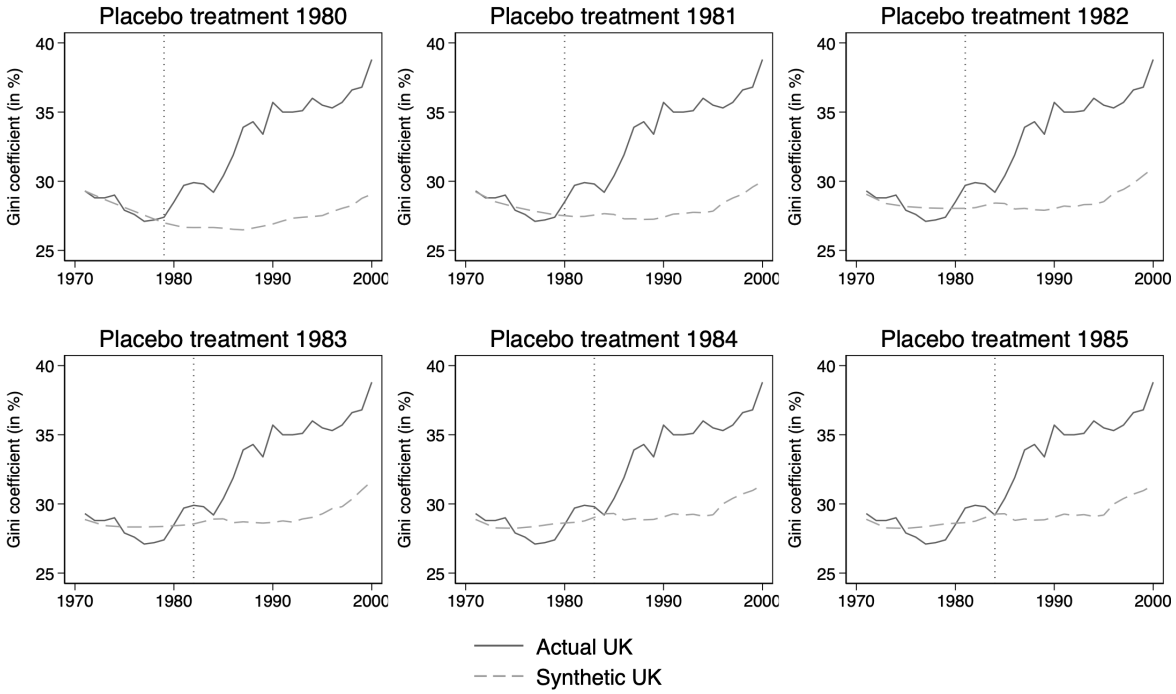
Source: Author's elaboration using World Development Indicators data.

Second, following Abadie, Diamond, and Hainmueller (2015), I conduct an in-time placebo test by backdating 'fake' treatment to the years 1980 to 1985 before the actual Big Bang reforms. This assesses whether the estimated divergence is unusually concentrated around the formal implementation of the financial-market reforms rather than nearby intervention dates. Accordingly, this tests whether the observed effects are significantly driven by pre-existing trends or anticipation effects. Intuitively, finding large, backdated placebo effects would erode confidence in the statistical significance of estimates. To maintain validity, I exclude the 1984 lagged Gini coefficient from the list of covariates, as predictors must be based on pretreatment characteristics.

Figure 7 plots the results of the in-time placebo tests. Two tested years are particularly important. First, the placebo test in 1980 shows that treatment effects on inequality effectively start to appear from 1980, a year after Prime Minister Thatcher came into office in 1979. This confirms that UK inequality did not begin rising in 1986 but is rather a continuing trend of the macroeconomic and labour-market shocks of the late 1970s and early 1980s (high inflation, oil shocks, recession, unemployment, changes in organised labour). The aim of the SCM in this study is therefore not to attribute the entire later increase in inequality to the Big Bang reform package, but rather to assess whether UK inequality diverged further after 1986 relative to a counterfactual that incorporates the prior path.

The second important in-time placebo test is for the year 1983, as initial plans for the Big Bang reforms were announced then, three years prior to their actual enactment. While a small gap appears between the actual and synthetic UK likely due to the imperfect goodness-of-fit of the synthetic counterfactual, the UK diverges meaningfully from its synthetic only after 1986, the true treatment year for financial liberalisation. This test thus supports the conclusion that the wider Big Bang financial liberalisation package largely drove the further increase and acceleration of Gini inequality after 1986.

**Figure 7.** In-time placebo tests (observed and predicted outputs)

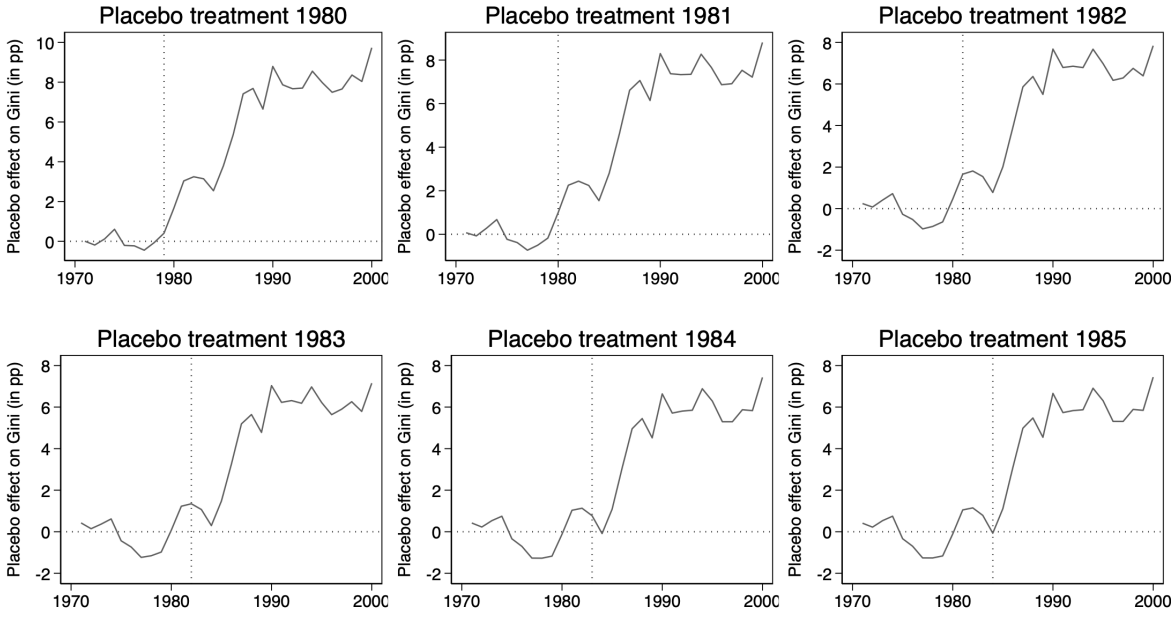



*Note: Placebo Gini trends are estimated using 'fake' treatment years 1980 through 1985, backdating the true 1986 Big Bang.*

Source: Author's elaboration using World Development Indicators data.

Similarly, Figure 8 presents placebo effects for the in-time placebo tests. These further confirm the intuition from this study: while inequality trends were rising from the early 1980s in Britain, the 1986 reform package significantly accelerated this trend beyond its previous path.

**Figure 8.** In-time placebo tests (placebo effects)




*Note: Placebo effects are calculated as the difference between actual UK and placebo trends for the placebo years.*

Source: Author's elaboration using World Development Indicators data.

Finally, I build on the latest developments in synthetic control methods to determine the statistical significance of the 1983 in-time results, using the mixed placebo test developed by Chen & Yan (2023). The intuition is to combine an in-time and in-space placebo test for a year of particular significance, which produces p-values for that given year. I run the test for the year 1983, which is of particular concern for the robustness of this study given the announcement of the financial liberalisation reforms that year. As explained, any significant 'fake' placebo effects would erode the significance of 'true' results. The graphic result of this test is given in Figure 9 below.

**Figure 9.** Mixed placebo test ('fake' treatment year 1983)




*Note: Mixed placebo effects are estimated by iteratively assigning 'fake' treatment to each donor country for the placebo year 1983.*
Source: Author's elaboration using World Development Indicators data.

As can be seen visually from this 1983 mixed placebo test, Gini trends for the UK are relatively in line with placebo Gini trends for donor pool countries in the pre-treatment period 1983-86. This means that there is no significant rise in inequality in the UK in 1983 relative to all other countries in the donor pool. Looking at Table 6 below, placebo effects are relatively low in years 1983, 1984 and 1985 relative to the baseline results, and larger placebo effects only appear after 1986, the true treatment year. Similarly, p-value statistics are 0.13, 0.33 and 0.13 in years 1983, 1984 and 1985, respectively, which means that placebo results cannot be deemed significant at the 10% level. In other words, placebo effects for a backdated 1983 treatment are insignificant relative to donor countries. Accordingly, the p-value becomes statistically significant at the 90% confidence level from year 1986 onwards. Taken together, these tests raise confidence that the effects of abrupt financial liberalisation on the UK's previous path of rising inequality only take off in year 1986, and it is highly unlikely that they are driven by any anticipation effects in year 1983.

**Table 6.** Mixed placebo estimates and p-value statistics

| Year | Placebo effect | p-value (right-sided) |
|---|---|---|
| 1983 | 0.9797 | 0.1333 |
| 1984 | 0.1569 | 0.3333 |
| 1985 | 1.3456 | 0.1333 |
| 1986 | 3.2709 | 0.0667 |

*Note: The right-sided p-value of the treatment effect is the frequency that placebo effects are greater than or equal to treatment effects.*

Source: Author's elaboration using World Development Indicators data.

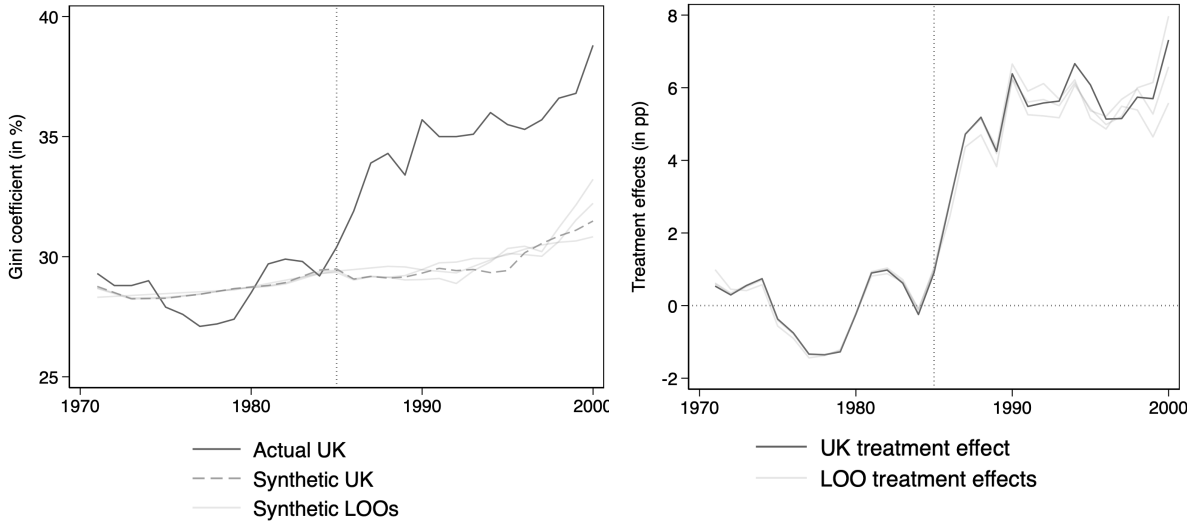
### D. Robustness tests

To check the robustness of my results, I perform leave-one-out (LOO) robustness tests following the methodology proposed by Abadie, Diamond, and Hainmueller (2015). This test addresses the concern that treatment effects may be disproportionately influenced by a single donor country with positive weights in the synthetic control.

To do so, I iteratively exclude each positively weighted country from the donor pool and re-estimate the corresponding synthetic controls. While sacrificing some goodness-of-fit, this test assesses whether results are significantly influenced by a single weighted control unit. If the resulting LOO synthetic UKs remain similar to the original, then results are considered robust.

Figure 10 presents LOO robustness test results. The alternative LOO synthetic UKs closely track the post-treatment trajectory for the original synthetic UK. This confirms that the findings are not disproportionately driven by any single weighted control unit and are robust to changes in the specification of country and covariate weights.

**Figure 10.** Leave-one-out robustness tests (outputs (lhs) and effects (rhs))




*Note: Each LOO line represents a synthetic UK constructed without one of the positively weighted donor countries.*

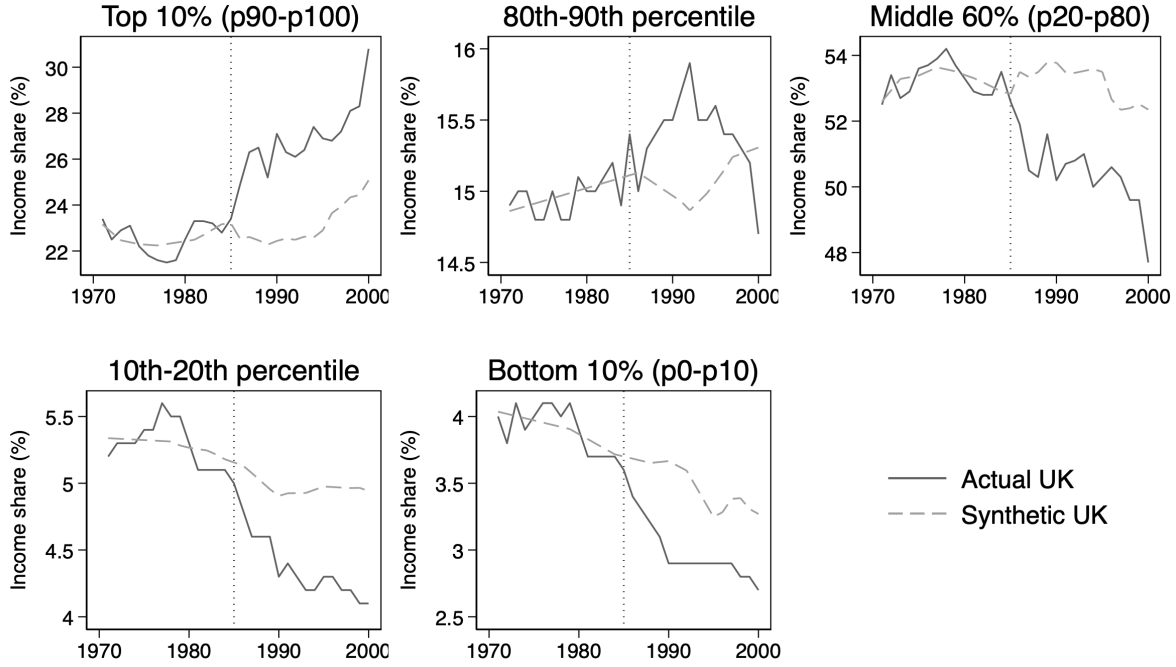
Source: Author's elaboration using World Development Indicators data.

## E. Distributional analysis: beyond top incomes

The previous results establish a persistent increase in aggregate UK inequality after 1986 relative to its synthetic counterfactual of gradual deregulation. These results are important, since they show that financial liberalisation affects economic outcomes for the entire population. The Gini coefficient, however, does not show where within the distribution this divergence occurred, as a high Gini could reflect gains at the top, losses at the bottom, or redistribution away from the middle of the distribution. While Tanndal and Waldenström (2018) show that financial deregulation increases top-income concentration, this section tests whether the post-1986 divergence extends beyond the upper tail.

Figure 11 disaggregates total income into five mutually exclusive groups: the top 10 per cent, the 80-90$^{th}$ percentile, the middle 60 per cent, the 10-20$^{th}$ percentile, and the bottom 10 per cent. For each income group, the figure compares observed income shares with their predicted synthetic counterparts, based on the same SCM specification, donor countries, and weights. Figure 12 reports the associated annual treatment effects, measured by the difference between the actual and synthetic income share results. Because the groups mutually exhaust the distribution, their treatment effects should be interpreted as a reallocation of income shares rather than as independent changes in average incomes.

**Figure 11.** Observed and synthetic UK income shares by distributional group (1971-2000)




*Note: The synthetic UK trend line displays the weighted average income share values of positively weighted donor pool countries.*
Source: Author's elaboration using World Development Indicators data.

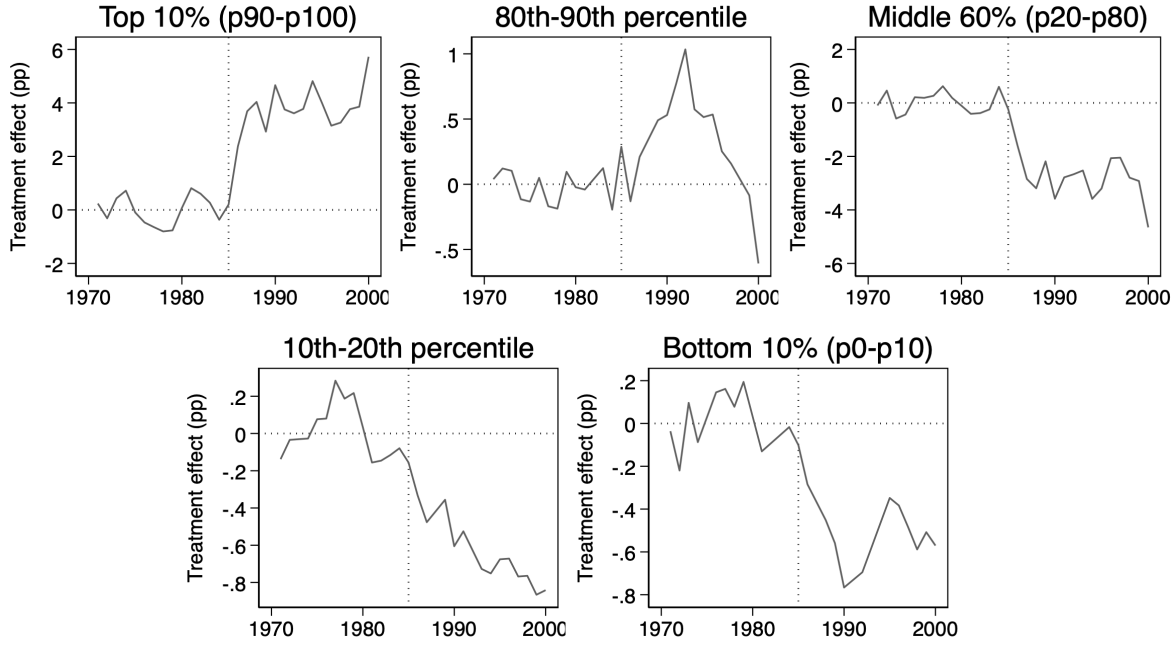
As expected, large and persistent gains occur at the very top of the distribution. After 1986, the income share of the top 10% rises sharply above that of the synthetic UK, with treatment effects rising rapidly and stabilising around 4-5 percentage points throughout the 1990s. This pattern is

consistent with the rise in top-income concentration documented in previous works on the effects of financial liberalisation.

However, the new evidence brought by this study is that the top-decile gain is not only matched but exceeded by broader losses across the rest of the distribution. Indeed, where the top 10% income share gained around 5 percentage points over the following decade, the middle 60% of the population lost around the same percentage share. The lower part of the distribution also lost income shares, although the magnitudes are smaller in percentage-point terms. The bottom 10% and 10-20$^{th}$ percentiles experienced a sustained fall in income shares of 0.4-0.8 percentage points after the late 1980s. These results indicate that the effects of the Big Bang reform package are not confined to a shift at the very top of the distribution; instead, the relative position of much of the population deteriorated markedly.

The 80-90$^{th}$ percentile results provide an important finding. Its income share rose modestly relative to its synthetic counterpart, but the gain was much smaller and less persistent than that of the top 10% and disappeared by the end of the post-period. The post-1986 income reallocation was therefore not a generalised gain for the top incomes: 90% of the population saw declining income shares following the reforms.

**Figure 12.** Estimated post-1986 treatment effects on UK income shares by distributional group




*Note: Treatment effects are calculated as the difference between actual and synthetic UK income share values.*

Source: Author's elaboration using World Development Indicators data.

Taken together, these results help explain the increase in the aggregate Gini coefficient. The post-1986 inequality divergence reflects a distributional pattern where the top decile captured a growing share of income while the middle 60 per cent and lower-income groups fell below their synthetic counterfactual shares. In other words, 90% of the British population would own higher shares of national income had financial liberalisation not been so sudden and abrupt, and inequality levels wouldn't be so stark. This extends the existing evidence on top incomes by demonstrating that the

post-Big Bang shift was associated with a broader redistribution of relative income shares, especially targeting the middle of the distribution. It reflected a wider redistribution of income shares away from the middle 60 per cent and lower income groups towards the top decile. Paradoxically, it was this very segment of the population that the Big Bang reforms sought to target by incentivising the building of financial wealth for middle-class working families through the everyday ownership of stocks and shares on the newly liberalised Stock Exchange.

## VI. DISCUSSION

### A. The Big Bang unambiguously increased inequalities in Britain

This study finds clear evidence that the 1986 Big Bang significantly accelerated the already rising inequality trend in Britain, relative to a counterfactual scenario of gradual financial liberalisation. Specifically, I find that 5.5 percentage points of the average rise in the UK's Gini coefficient between 1986 and 2000 are attributable to the Big Bang reform package. Inequality gains surged rapidly until 1990 and then stabilised around 6 percentage points. To better interpret this result, I examine Lorenz curves, which are a visual illustration of the cumulative distribution of disposable income across population deciles. The Gini index measures the area between the Lorenz curve and the hypothetical line of perfect equality.

Figures 13 and 14 plot the UK's regular and generalised Lorenz curves of disposable income before (1977-85) and after (1986-2000) the Big Bang (ONS, 2023). The post-Big Bang Lorenz curve is more convex, indicating greater concentration of income among the wealthiest deciles (Figure 13). During this period, the bottom 25% of the population held approximately 3.1% of total disposable income, while the top 10% held 25% of total income (Figure 14). The income share ratio between these groups thus rose from 6.6 (pre-Big Bang) to 8.1 (post-Big Bang), confirming a sharp rise in inequality.

**Figure 13.** UK Lorenz curves (disposable income): pre vs post Big Bang

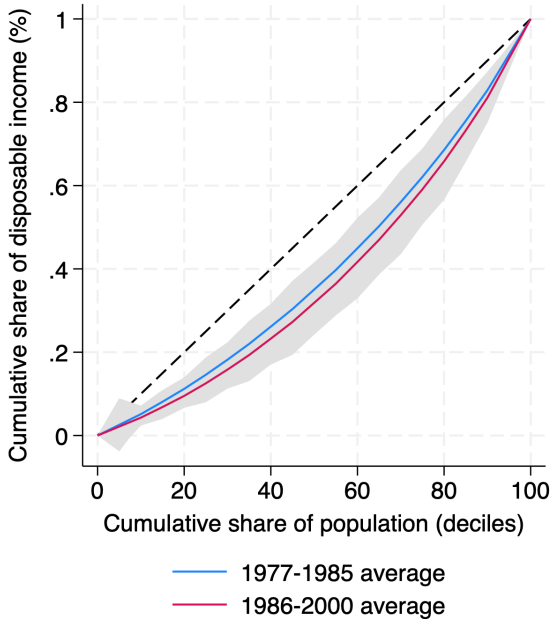
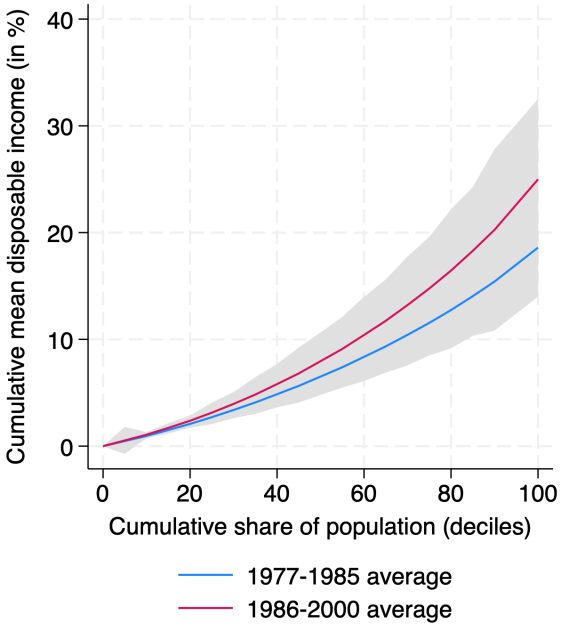



**Figure 14.** UK generalised Lorenz curves (disposable income): pre vs post Big Bang




*Note: Data is split into pre and post Big Bang (starting in 1977). The grey area shows the 95% confidence interval. The dashed line represents perfect income equality. Figures are based on median disposable household income (after taxes and benefits) by decile.*

Source: Author's elaboration using ONS data.

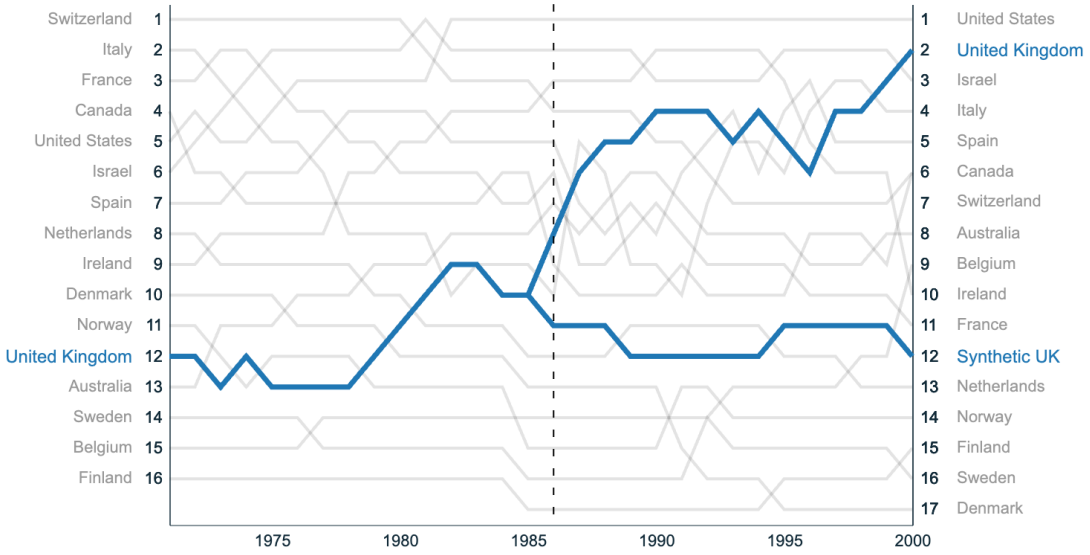
### B. Because of financial deregulation, Britain now ranks as the second-most unequal high-income economy in the world

One great advantage of the Gini coefficient is its comparability. Thus, an insightful way to understand the effects of the Big Bang in Britain is to compare Gini values with peer countries. Figure 15 ranks the Gini coefficients of donor pool countries (including the US) from 1971 to 2000, from 1 (highest inequality) to 17 (lowest inequality).

In 1970, the UK ranked 12th, meaning it was less unequal than most peers. By 2000, the UK ranked 2nd, making Britain the second-most unequal high-income economy behind the United States. Had the Big Bang not occurred and financial liberalisation been more incremental, Britain would have remained 12th, with lower Gini inequality than most peers. Thus, the Big Bang raised Britain's inequality ranking by 10 places relative to peer countries.

The academic literature has long identified the UK as one of the most unequal economies in the world in terms of disposable income, productivity and GDP per capita levels (McCann & Vorley, 2020; Stansbury et al., 2023). However, there is no clear consensus on why this is the case. This study provides fresh evidence that a significant portion of these inequality gains may be directly linked to financialised policymaking and the Big Bang financial market reforms.

**Figure 15.** Gini coefficient ranking (1-17): UK vs donor pool countries (1971-2000)




*Note: Gini coefficients are ranked from 1 (highest level of Gini inequality) to 17 (lowest level of Gini inequality).*

Source: Author's elaboration using World Development Indicators data.

### C. Economic gains from the Big Bang have disproportionately favoured the highest percentiles of the wealth distribution in a small number of regions

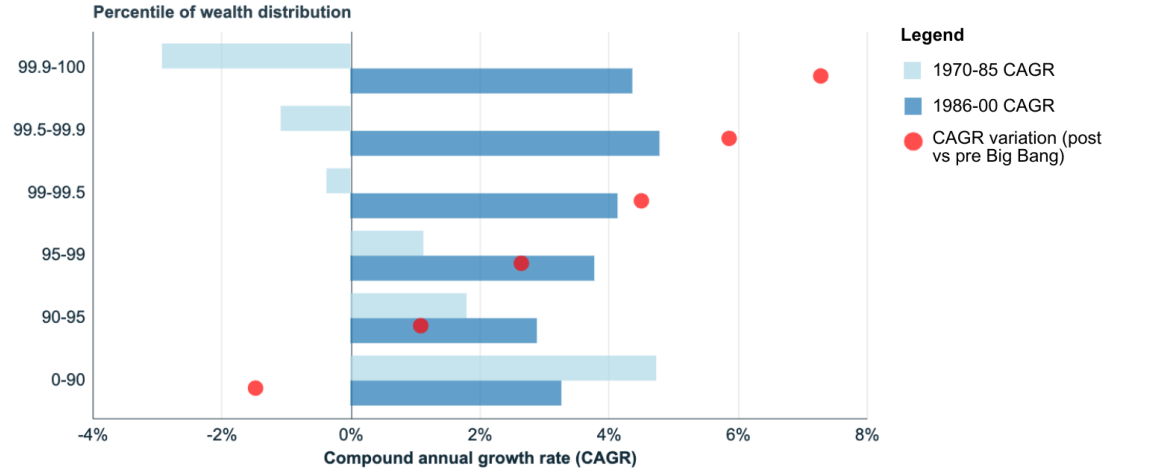
One limitation of the Gini index is that it measures relative inequality and does not indicate where inequalities have increased the most in absolute terms. To better understand the distributional impact of the Big Bang on inequality, I examine changes in wealth by percentile and region.

Using data from the World Inequality Database (Solt, 2020, 2024), Figure 16 plots the compound annual growth rate (CAGR) of net personal wealth across six wealth percentiles before (1977-85) and after (1986-2000) the Big Bang, along with the absolute change in growth rates between these periods.

Although all percentiles experienced positive net personal wealth growth after the Big Bang (1986-2000), the distribution of gains was highly unequal. Indeed, the absolute variation in wealth growth between the pre- and post-Big Bang periods reveals that wealth gains were disproportionately allocated to the highest wealth percentiles. Specifically, 90% of the population saw a relative decline in wealth growth (-1.8%), while the top percentiles experienced substantial increases. These gains were linearly correlated with their position in the wealth distribution, as wealth grew by 3% for the top 5%, 6% for the top 0.5%, and 7.5% for the top 0.1% of earners.

Thus, while the entire population experienced positive wealth growth, the benefits of financial deregulation were disproportionately concentrated among top earners, leaving 90% of the population relatively worse off. Further granular analysis of the wealth losses for the lower percentiles of the distribution would be insightful, but such data is unavailable before 1997 in the World Inequality Database.

**Figure 16.** UK net personal wealth CAGR by percentile (%)




*Note: Data is divided into pre and post Big Bang periods. The compound annual growth rate (CAGR) measures the average annual growth of personal wealth over the 1970-85 and 1986-00 periods.*

Source: Author's elaboration using World Inequality Database data.

Second, I assess regional disparities using historical trend files from the Office for National Statistics (ONS, 2016). Figure 17 illustrates the change in relative disposable income per head across UK regions between pre- and post-Big Bang periods, indexed to the national average. Following the Big Bang, the North West's share of national income decreased by 3.1 percentage points (from 96.1% to 93% of the national average), while the South East's share of national income increased by 5.3 percentage points (from 96.2% to 101.5% of the national average).

Figure 18 shows the change in regional contributions to the UK's aggregate compound annual growth rate (CAGR) between pre- and post-Big Bang periods. Following the Big Bang, the South

West's share of national growth declined by 1.4 percentage points (from 9.1% over 1971-1985 to 7.7% over 1986-1995), while London's contribution to total growth increased by 1.1 percentage points over the same period (from 7.2% to 8.3%, respectively).

**Figure 17.** Change in relative disposable income per head: pre vs post Big Bang (in pp)

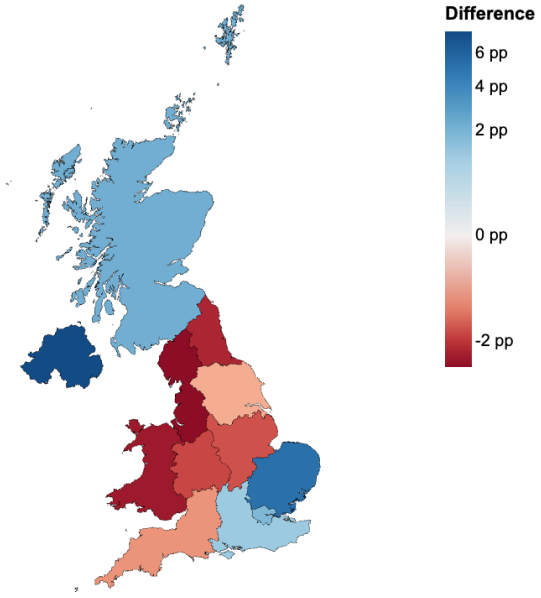
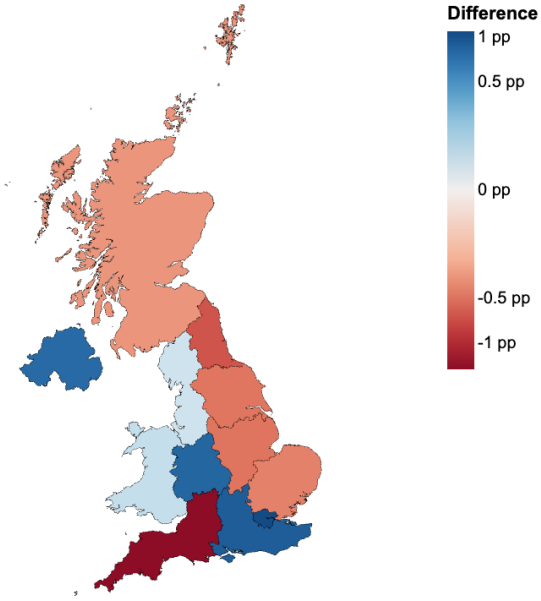



**Figure 18.** Change in relative contribution to UK growth: pre vs post Big Bang (in pp)




*Note: Data is split into pre and post Big Bang periods (1971-85 vs 1986-96). The graphs show the difference in relative disposable income per head (index UK average = 100) and regional contributions to UK compound annual growth (in percentage points).*

Source: Author's elaboration using ONS data.

Overall, these findings indicate that the economic gains from the Big Bang were highly geographically concentrated. Financial deregulation has disproportionately benefited London, the South East, and Northern Ireland, increasing their share of disposable income and growth relative to the national average, while most other UK regions experienced relative decline, such as the South West, the Midlands, and the North of England.

This supports the view that regional inequality gains are a significant driver of the broader rise in inequality identified in this study. Indeed, the UK now exhibits one of the widest regional productivity divides among advanced economies: productivity in London and the South East represents around 1.7 times the national average (Westwood et al., 2024). Regional disparities in the UK now surpass those in historically divided countries such as Germany and Italy (Stansbury et al., 2023). By 2014, the UK was home to both the wealthiest city (London) and nine out of the ten poorest cities in Northern Europe (Inequality Briefing, 2014). This stark regional divide has fuelled a vast 'geography of discontent', often cited as a key factor behind the UK's recent political shocks such as the 2016 Brexit referendum (McCann & Ortega-Argilés, 2021).

## VII. CONCLUSIONS

This article has examined whether Britain's 1986 Big Bang reform package was followed by a sustained increase in its rising inequality trend from the early 1980s, relative to a synthetic counterfactual constructed from comparable high-income countries that did not experience such sudden, large-scale financial liberalisation. The main SCM estimates show that observed UK consumption inequality rose persistently above the synthetic UK after 1986. The average post-treatment gap is 5.5 Gini points over the study period, increasing rapidly until 1990 before stabilising around 6 percentage points. In-space and in-time placebo tests indicate that the UK's post-1986 divergence was unusually large relative to the corresponding placebo gaps, while the leave-one-out sensitivity tests show that the results are not driven by a single donor country or modelling choice.

A distributional analysis of these results clarifies the composition of this divergence. The post-1986 rise in inequality was not confined to an increase in the income share of the top 10 per cent. Indeed, while the top-decile share rose sharply relative to its synthetic, the middle 60 per cent of the population experienced the largest and most persistent relative loss. Income shares also declined for the bottom 10 per cent and 10-20$^{th}$ percentiles. Taken together, these distributional results confirm a post-1986 redistribution of relative income shares away from the middle and lower parts of the distribution towards the top decile.

Consequently, the Big Bang elevated the UK's relative inequality ranking by 10 places among peer countries. By 2000, Britain ranked as the second-most unequal high-income economy globally, behind the United States. In the absence of the Big Bang, it would have remained twelfth. Furthermore, the economic benefits of financial deregulation were highly concentrated, disproportionately accruing to the wealthiest percentiles and a small number of regions. Specifically, 90% of the British population saw a relative decline in wealth growth following the Big Bang, while the top percentiles experienced strong wealth gains. From a regional perspective, correlational evidence shows that London, the South East, and Northern Ireland seem to have disproportionately captured economic gains from the Big Bang, while most other regions have experienced economic stagnation or decline.

This evidence extends previous evidence on the Big Bang's effects on rising top-income concentration, which primarily cited high financial-sector remuneration. Instead, this study shows that the post-1986 divergence was also reflected in the negative relative position of the middle and lower parts of the income distribution, along with a regional analysis of winners and losers. Thus, this paper contributes to our understanding of the broader distributional pattern underlying the rise in aggregate UK inequality following the 1986 reforms.

These results should nonetheless be interpreted with caution. This analysis does not identify the effect of each individual Big Bang rule, such as the abolition of fixed commissions or the end of the single capacity system, separately from the wider 1986 financial liberalisation reform package. Nor does it fully separate this reform juncture from other features of the Thatcher-era neoliberal policy environment, including earlier labour market reforms, privatisations or tax-benefit changes. The synthetic control design therefore provides evidence on the UK's distributional divergence

following a 1986 financial-market institutional break, rather than a precise estimate of the isolated effect of a singular Stock Exchange reform.

This qualification does not undermine these findings' informativeness; rather, they highlight the political-economy significance of state-led market design and market shaping. The Big Bang reform package reorganised competition, ownership and organisational boundaries in British securities markets at a moment of wider institutional transformation. The results suggest that this reform juncture was associated with a durable redistribution of income shares away from the middle of the distribution and towards the very top. As such, it would be wise for policymakers seeking to address the role of the financial sector in the economy not to underestimate the distributional effect of market-shaping reforms in financial services. Accordingly, further research should seek to refine the analysis by exploiting regional, sectoral or occupational variation in exposure to financial market expansion and liberalisation, or by separating the roles of financial remuneration, capital income, taxation, and transfers in aggravating inequality by using harmonised household-level data.

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## ANNEXES

**Table 7.** Key financial deregulations in donor pool countries

| Country | Deregulation started | Key deregulation events | Liberalised financial market by 1996 |
|---|---|---|---|
| Australia | 1980 | Bank specialisation rules ended (1980), check-like instruments allowed (1986) | Yes |
| Canada | 1967 IR, 1980 | Securitisation (1980, 1987), mortgage loan subsidiaries allowed (1980), entry barriers removed (1992) | Yes |
| Denmark | 1982 IR | Bond issuance restrictions removed (1989, 1991 EEC) | – |
| Finland | 1986 IR | Mortgage lending guidance withdrawn (1987, 1989 S) | – |
| France | – | Unequal rules still present in 1996; EEC implementation (1992) | – |
| Germany | 1967 IR, 1980 | EEC implementation (1992), gradual deregulation during 1980s | Yes |
| Ireland | – | – | – |
| Italy | 1983 IR | Credit ceilings ended (1983), EEC (1993), entry barriers removed (1990, 1993) | – |
| Japan | 1993–1994 IR, 1979 | Securitisation and partial liberalisation (1993), still incomplete | – |
| Netherlands | 1980 IR | EEC implementation (1992) | – |
| New Zealand | 1984 IR | Lending controls abolished (1984), stock market liberalised (1986) | – |
| Norway | 1984 IR | Lending controls abolished (1984) | – |
| Portugal | – | – | – |
| Spain | – | – | – |
| Sweden | 1985 IR | Lending ceilings abolished (1985) | – |
| Switzerland | – | – | – |
| United Kingdom | 1980 | Minimum lending rate abolished (1981), Big Bang (1986), EEC (1993) | Yes |
| United States | 1971 S, 1982 | IR deregulated (1980), thrift restrictions lifted (1980), entry barriers removed (1978, 1995) | Yes |

*Note: IR: Interest Rate Deregulation, S: Securitisation, EEC: Implementation of the European Union's Second Banking Directive. 'Yes' under the last column means the country was considered to have a liberalised financial market by 1996 according to Williamson and Mahar (1998).*

Source: Author's elaboration, based on Williamson and Mahar (1998); Girouard and Blöndal (2001); Tanndal and Waldenström (2018).

**Table 8.** Description of predictor variables

| Predictor variables | Source |
|---|---|
| **Inequality indicator** | |
| Gini index (consumption distribution, in %) | World Development Indicators |
| **Economic indicators** | |
| Annual GDP growth | World Development Indicators |
| Real GDP per capita (constant prices) | World Development Indicators |
| Exports (% of GDP) | World Development Indicators |
| Imports (% of GDP) | World Development Indicators |
| Stock market capitalisation (% of GDP) | Global Financial Development Database |
| General government final consumption expenditure (% of GDP) | World Development Indicators |
| Inflation, consumer prices (annual %) | World Development Indicators |
| Unemployment rate (% of total labour force) | World Development Indicators |
| **Financial openness and regulation indicators** | |
| Chinn-Ito index of financial openness (0-1) | Chinn and Ito 2021 |
| Quinn index, restrictions to capital account (0-100) | Quinn and Toyoda 2008 |
| Quinn index, restrictions to current account (0-100) | Quinn and Toyoda 2008 |
| Taxes on income, profits and capital gains (% of revenue) | World Development Indicators |
| **Political institutions indicators** | |
| Right-wing chief executive party (0-1) | Database of Political Institutions |
| Electoral proportional representation (0-1) | Database of Political Institutions |
| British legal origin (0-1) | La Porta et al. 1997 |
| **Education and labour market indicators** | |
| Strictness of employment protection (0-6 scale) | Indicators of Employment Protection |
| Years of schooling | World Development Indicators |

Source: Author's elaboration.

**Table 9.** Working dataset descriptive statistics

| Variable | Obs | Mean | Std Dev | Min | Max |
|---|---|---|---|---|---|
| Year | 600 | 1990.5 | 11.553 | 1971 | 2010 |
| Gini index (0–100) | 600 | 30.936 | 4.609 | 19.4 | 42.6 |
| GDP growth (annual %) | 600 | 2.763 | 2.451 | -8.076 | 12.147 |
| Real GDP per capita (constant 2015 USD) | 600 | 34380.585 | 14246.978 | 11952.151 | 82481.07 |
| Exports to GDP (% of GDP) | 600 | 35.698 | 16.262 | 12.398 | 103.209 |
| Imports to GDP (% of GDP) | 600 | 34.306 | 14.04 | 11.001 | 86.654 |
| Stock market capitalisation (% of GDP) | 600 | 44.279 | 74.437 | -414.868 | 283.131 |
| Government expenditure (% of GDP) | 600 | 20.303 | 4.704 | 8.068 | 41.258 |
| Inflation rate (annual %) | 600 | 7.889 | 22.814 | -4.448 | 373.216 |
| Unemployment rate (% of total labour force) | 600 | 4.38 | 14.946 | -95.337 | 41.885 |
| Chinn–Ito index of financial openness (0–1) | 600 | .754 | .287 | 0 | 1 |
| Quinn index, restrictions to capital account (0–100) | 600 | 82.438 | 19.358 | 37.5 | 100 |
| Quinn index, restrictions to current account (0–100) | 600 | 85.906 | 17.626 | 31.25 | 100 |
| Taxes on income, profits & capital gains (% of revenue) | 600 | 32.992 | 15.351 | 5.545 | 101.595 |
| Right-wing chief executive party (0–1) | 600 | .412 | .493 | 0 | 1 |
| Electoral proportional representation (0–1) | 600 | .788 | .409 | 0 | 1 |
| British legal origin (0–1) | 600 | .333 | .472 | 0 | 1 |
| Strictness of employment protection (0–6) | 600 | 2.057 | .815 | .587 | 3.65 |
| Years of schooling | 600 | 10.01 | 1.572 | 5.505 | 12.916 |
| Income share held by lowest 10% | 600 | 3.26 | .735 | .6 | 5.133 |
| Income share held by lowest 20% | 600 | 8.222 | 1.386 | 4.7 | 11.4 |
| Income share held by second 20% | 600 | 12.999 | 1.248 | 9.6 | 16.4 |
| Income share held by third 20% | 600 | 17.104 | .854 | 14.8 | 19.7 |
| Income share held by fourth 20% | 600 | 22.78 | .51 | 20.9 | 24.75 |
| Income share held by highest 20% | 600 | 38.898 | 3.373 | 30.3 | 46.9 |
| Income share held by highest 10% | 600 | 23.816 | 2.87 | 16.8 | 30.8 |

Source: Author's elaboration.

**Table 10.** Covariate balance, values and bias in pretreatment periods

| Covariate | Covariate weight (0-1) | Covariate value | | | SMD | |
|---|---|---|---|---|---|---|
| | | Actual UK | Synthetic UK | Average control | Synthetic UK | Average control |
| UK legal origin | .2295 | 1.0000 | .6940 | .2857 | .306 | .714 |
| Stock market cap | .1747 | 40.0745 | 29.9841 | 3.3699 | .252 | .916 |
| Gini (1978) | .1653 | 27.2000 | 28.5544 | 30.5652 | .050 | .124 |
| Years of schooling | .1359 | 8.4604 | 9.6252 | 8.8981 | .138 | .052 |
| Employment protection | .0672 | 1.3452 | 1.4292 | 2.1649 | .062 | .609 |
| Quinn index (current) | .0576 | 76.6667 | 80.5925 | 71.6964 | .051 | .065 |
| GDP growth rate | .0455 | 2.2352 | 3.3454 | 3.0581 | .497 | .368 |
| Inflation rate | .0348 | 11.6087 | 9.2175 | 16.1002 | .206 | .387 |
| Real GDP per capita | .0322 | 22890.7237 | 26121.3414 | 26451.5619 | .141 | .156 |
| Exports to GDP | .0270 | 26.2432 | 21.6331 | 31.0564 | .176 | .183 |
| Gini (1973) | .0084 | 28.8000 | 28.2481 | 31.2998 | .019 | .097 |
| Government expenditure | .0084 | 20.4991 | 18.7980 | 20.1102 | .083 | .019 |
| Gini (1983) | .0082 | 29.8000 | 29.1830 | 30.0345 | .021 | .008 |
| Quinn index (capital) | .0012 | 75.0000 | 58.7750 | 66.3095 | .216 | .116 |
| Taxation rate | .0012 | 40.1305 | 59.5363 | 33.5266 | .484 | .165 |
| Right-wing executive | .0010 | .6667 | .3881 | .3238 | .418 | .514 |
| Unemployment rate | .0008 | -7.3360 | -20.4623 | -0.8975 | .789 | .878 |
| Imports to GDP | .0008 | 25.7830 | 21.6400 | 32.2273 | .161 | .250 |
| Chinn–Ito index | .0004 | .5603 | .6935 | .5528 | .238 | .013 |
| Proportional representation | .0001 | .0000 | .6420 | .8238 | . | . |

*Note: 'Weight' is the optimal covariate weight in the diagonal of V matrix, from 0 to 1. 'Synthetic UK' is the weighted average of donor units with optimal weights. 'Average Control' is the simple average of all 20 control countries with equal weights. 'SMD' is the standardised mean difference between treated and control units, from 0 to 1, indicating the level of bias in the control. The closer to 0, the lower the bias.*

Source: Author's elaboration.